

Paradiem

The Morning Brief

AUGUST 8, 2026

Jobs Shock

Weekend Edition. July payrolls fell 23K vs +80K expected; equities close the week higher on Fed re-pricing, gold at a fresh peak, and Sunni powers ink Mecca defence pact.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	GOLD (FRI CLOSE)	WTI (FRI CLOSE)	FEAR & GREED (CNN)
\$773.26 · ↑3.51% wk	\$723.03 · ↑5.09% wk	\$398.47 · Fresh peak wk	\$117.98 · Lower on the week	63 · Greed

SECTION 01

Markets — Week in Review

A WEEK THAT ENDED ON THE LABOR PRINT

The week closed with an outsized macro surprise. Per BLS coverage, July nonfarm payrolls printed −23,000 against Continuum Economics consensus near +80,000, with May revised down to +63,000 (from +129,000) and June revised down to +20,000 (from +57,000). The unemployment rate ticked down slightly to 4.1%, and per NBC and CNBC coverage, the composition featured a −53,000 government drag with additional softness in retail, leisure and hospitality. Equities took the print as a dovish reset, closing the week higher across the major averages, and precious metals rallied alongside as a market pricing a softer Fed reaction function retained its geopolitical hedge tied to unresolved Hormuz.

S&P 500	\$773.26 · ↑3.51% on the week
NASDAQ	\$723.03 · ↑5.09% on the week
JULY NFP	−23,000 · vs +80,000 est · May/June revised −103K
UNEMPLOYMENT	4.1% · ticked down
SEPT FED HIKE ODDS	~44% · from higher pre-print
OCT FED HIKE ODDS	~55% · post-print re-price
GOLD (GLD)	\$398.47 · Fresh peak on the week
WTI (USO)	\$117.98 · Lower on the week

THE FED PATH RESET

Per CBS and CNBC coverage of the Friday post-print re-price, CME FedWatch odds of a September Fed hike fell to

roughly 44% (from higher levels earlier in the week) and October hike probability slipped to roughly 55%. The composition of the payrolls miss — broad-based softening across government, retail, and hospitality, alongside a −103,000 combined revision to May and June — introduces a labor-softening vector into a Fed reaction function that had been anchored primarily to crude-driven inflation risk through July. Any Fed speaker commentary during the coming week, particularly on whether the labor vector or the geopolitical inflation vector carries greater weight into the September meeting, would move the front-end. Duration responded orderly rather than climactically, with TLT closing the session modestly higher.

A payrolls miss of this magnitude changes the composition of the Fed conversation into September.
Research reveals opportunities.

SECTION 02

Geopolitics — Mecca Pact, Hormuz Still Open-Ended

SAUDI ARABIA, TURKEY, PAKISTAN SIGN THE MECCA JOINT DEFENCE AGREEMENT

Per CBS News, Washington Post, and Al Jazeera coverage of the Friday signing, Saudi Crown Prince Mohammed bin Salman, Turkish President Erdogan, and Pakistani Prime Minister Sharif signed a trilateral collective-defence pact in Mecca. Per the coverage, an armed attack against any of the three states is to be treated as an attack against all three, and the arrangement builds on the September 2025 bilateral Saudi–Pakistan defence agreement while extending comparable commitments to Turkey. Per Al Jazeera coverage, Turkish media reporting flagged provisions likely to enable joint military exercises, technology transfer, and intelligence sharing, with a Turkish government official characterizing the pact as purely defensive in nature. If taken at face value, the signing consolidates a Sunni-majority security architecture running from Ankara through Riyadh to Islamabad at precisely the moment the Iran–Hormuz negotiations remain unresolved and the Yemen theater re-escalates per Reuters coverage of Houthi strikes on Marib. For the FCI defense sleeve (LMT, GD), the directional read is supportive of long-cycle Gulf-region order flow, though specific procurement composition remains undisclosed.

HORMUZ FRAMEWORK STILL IN THE CORRIDOR CONSTRUCTION

Per Reuters coverage captured in the data drop, a US official flagged expectations of an Iran–Oman deal on the Strait of Hormuz in the near term, though the operational rollout remains undisclosed. The corridor construction previously reported by the Washington Post — commercial vessels entering via an Iranian-controlled route and exiting via an Oman-controlled route in exchange for service fees — leaves meaningful physical friction intact rather than restoring the pre-disruption flow. Crude gave back a portion of Thursday's reversal bid on Friday but remains elevated versus the pre-Hormuz baseline. The Mecca pact signing and the still-open corridor operational detail set up a headline-sensitive Sunday–Monday tape, with Iran's public response to the trilateral pact the primary weekend variable to watch.

RUSSIA SANCTIONS PACKAGE CLEARS THE SENATE

Per Reuters, Washington Post, and NPR coverage captured in the data drop, the Senate passed the Russia sanctions package, which was renamed the Lindsey O. Graham Sanctioning Russia and Iran Act of 2026 in honor of the late Senator; the House is scheduled to take up the measure next. The advance is a slow-moving policy vector that has developed alongside the Iran–Hormuz sequence rather than in reaction to it, and the composition of the eventual signed legislation — particularly any secondary-sanctions provisions on buyers of Russian crude — would introduce a distinct physical-supply variable relevant to the current oil setup. Progression through the House is a live weekend watch item as parliamentary-procedure detail typically leaks during recess periods.

On Our Radar

1. Week Ahead — Iran Response, Fed Speakers, and the Rate Path. The Monday tape reopens against three principal weekend variables: Iran's response to the Mecca defence pact signing, any operational detail on the Iran–Oman Hormuz corridor rollout, and Fed communication into the reset September policy expectation. Per CBS and CNBC coverage of the Friday NFP reaction, September Fed hike odds slipped to roughly 44% and October hike probability to roughly 55%, materially altering the framework analysts had constructed heading into Q3. Any Fed speaker commentary through the week — particularly on whether the labor softening or the crude-driven inflation vector carries greater weight — would move the front-end.

2. Precious Metals and Miner Leadership. Precious metals continued to advance on the week, with the FCI growth sleeve capturing the leadership through AEM as the top FCI mover on Friday. Freeport-McMoRan (FCX) provided the parallel industrial-metals read via copper strength. The cross-asset pairing — equities and precious metals both bid on the Friday session — is consistent with a market pricing a softer Fed reaction function while retaining the geopolitical hedge tied to unresolved Hormuz. The Monday open is the first test of whether precious-metals leadership within the FCI growth sleeve extends or consolidates; a continuation would keep AEM as a live outperformance vector against the broader tape.

3. Bitcoin ETF Inflows vs. Miner Distress. The Bitcoin ETF complex continued to accumulate through the week, with per Benzinga coverage flagging roughly \$626M of three-day inflows into Bitcoin ETFs. IBIT (BlackRock's spot Bitcoin ETF) closed the week higher, diverging from continued weakness in the FCI mining-cohort exposure — MARA extended the post-earnings drawdown Friday and HUT traded in sympathy. For the FCI digital-mining exposure, the persistence of the bifurcation — Bitcoin ETF inflows continuing while miners drift lower — is the read to watch into the Monday open.

4. Carson's SPY \$645.80 Support Remains Active. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Friday's \$769.61–\$773.91 S&P 500 intraday range and sits approximately 16.5% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With the NFP miss re-pricing the Fed path, the Mecca defence pact reshaping regional security architecture, Hormuz operational detail still undisclosed, and gold at a fresh peak, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single Monday gap.

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